

Rosenwald Investment Competition

Long Breakwave Tanker ETF (NYSE: BWET) – A long bet on crude oil shipping rates

Executive Summary

Our core thesis is that oil market dynamics are creating a situation in which we believe the freight rates for shipping crude oil around the world will increase materially over the next 3-6 months. This is measured by the price of VLCC (Very Large Crude Carrier) and SUEZMAX futures/derivative contracts, which are the sole exposures of the NYSE: BWET ETF. We believe this represents a highly attractive return opportunity with a return potential of 35-60% by Q1 CY26.

The BWET ETF is designed to reflect the daily price movements of indices that track the future cost of transporting crude oil, through an instrument that provides unlevered exposure to oil tanker futures. The ETF's futures portfolio is targeted to achieve a weighted average expiration of 60-90 days forward, through blending 1 to 6 months forward futures contracts.

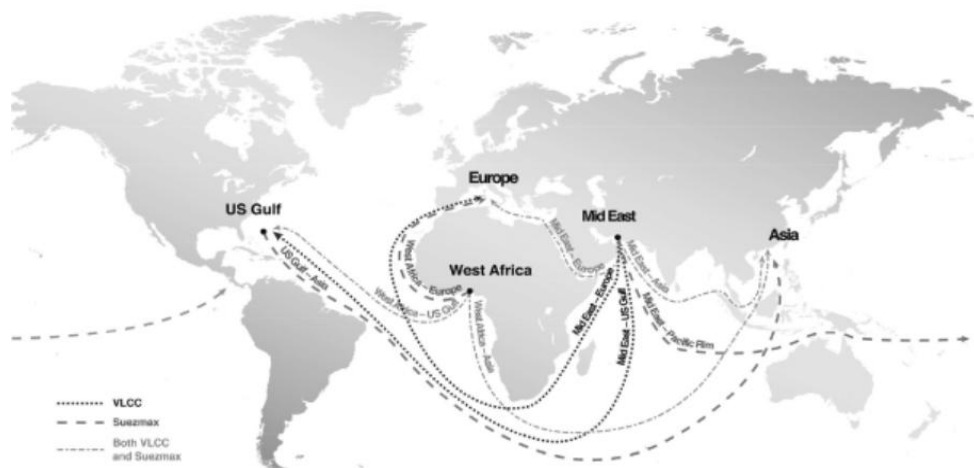
The portfolio is made up of primarily VLCC contracts (90%), which are mainly used for transporting crude oil from the Middle East to the Americas and Asia, with the residual 10% in contracts for SUEZMAX freighters which are mainly used in the Atlantic.

'Rationale'

Our underlying thesis reflects the following realities of the oil market today, and is well summarised by Trafigura, who believe the "tanker market is the only pure play on the growing disconnect between where oil is produced and where it's needed."

- (1) Current oil prices of [~US\$65/bbl] favor lower-cost producers primary based in the Middle East and Africa ('MENA')
- (2) Global demand for oil products is dominated by regions geographically distanced from MENA (China, USA, India, and Europe), with refining capacity located at/near these end-markets
- (3) Inventories in key pricing centers (e.g. USA and Europe) have been minimal and are unusually tight, with the US Strategic Petroleum Reserve ('SPR') having fallen to its lowest point in mid-2025, currently ~57% filled
- (4) US production and production growth/investment has slowed in terms of rig count and total output in recent months.

The effect of points (1) and (2) is that VLCC and SUEZMAX vessels are more required than ever to transport crude oil from MENA to the 'demand centers', with the typical routes outlined below.



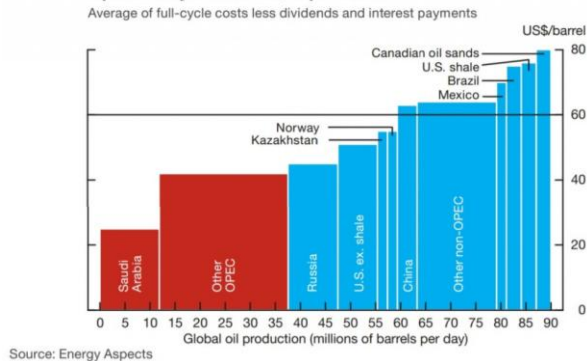
‘Setting the scene’

(1) Current oil price dynamics

Oil prices have remained below \$80 per barrel since mid-2024 due to a fundamental shift in market dynamics. OPEC+ countries (Algeria, Congo, Equatorial Guinea, Gabon, Iran, Iraq, Kuwait, Libya, Nigeria, Saudi Arabia, United Arab Emirates, Venezuela – of which Saudi is the most important, and to a lesser extent the UAE and Kuwait) have pivoted from prioritizing price stability to reclaiming market share, beginning a strategic unwinding of voluntary production cuts starting in April 2024 OPEC+. By September, eight key OPEC+ members had fully reversed their 2.2 million barrel per day cuts, with the alliance explicitly signaling willingness to accept prices below \$60 per barrel to regain market share lost to surging non-OPEC+ production from the United States, Brazil, Guyana, and Canada.

Combining these actions with the production cost curve reality for non-EMEA producers (seen below), is an important point to underscore in forming a judgement about the likely direction of oil prices over the next ~6-12 months, a therefore the likely price/demand of VLCC shipments.

Chart 4: Roughly one-third of current oil production could be uneconomical if prices stay around US\$60 per barrel



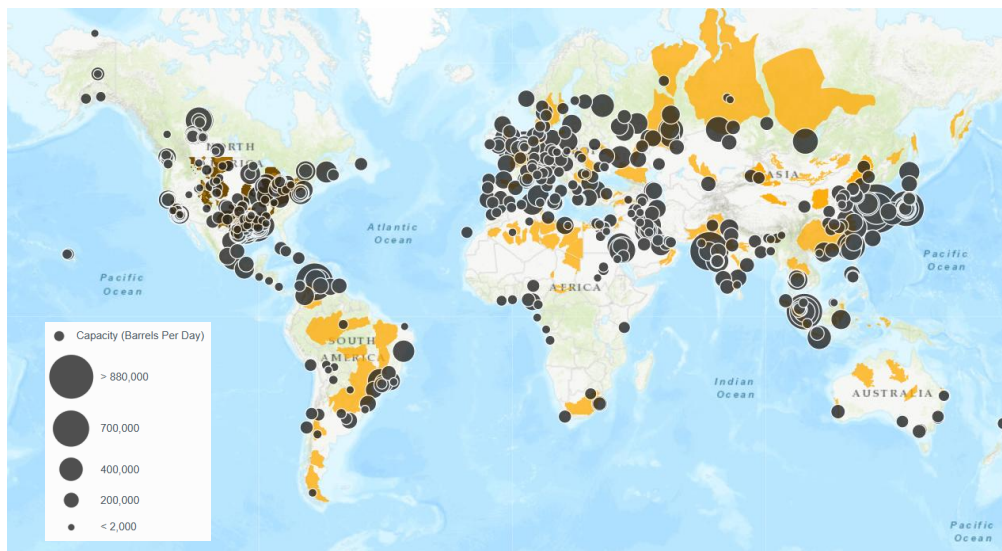
There have also been extreme bouts of volatility in oil prices over the past several years, with two spikes to US\$90-100/bbl in the last 12 months alone. These reactions have been geopolitically stimulated with conflict tensions increasing in the Strait of Hormuz, however, have been short-lived. With 20% of the global supply of oil transiting through this narrow waterway with limited alternative routes available price reaction is always expected, however Iran historically has been reluctant to close the strait even during intense conflicts, as doing so would be economically self-destructive by blocking its own oil exports, and alienating key allies like China.

(2) Crude extraction and refining/oil products demand centers

The oil supply chain is highly structured and specialized by region, and can be broken down as follows:

- a) **Supply:** 50% of global crude oil extraction comes from the Middle East and Africa, with the balance predominantly from the USA, Brazil, and Canada
- b) **Refining:** China overtook USA as the world's largest refining geography in 2023, with India and the broader Asia Pacific region becoming more important as refining capacity migrates from developed to developing countries
- c) **Demand:** Oil demand is dominated by China and the USA. India is the key growth region, accounting for 25% of all demand growth in 2023-24, followed by emerging Asian countries, as OECD consumption is mature
- d) **Storage:** Like above, China and the USA are the most important storage, with each having strategic reserve policies and facilities in existence. China's storage growth stems from recent policy decisions to provide supply chain resilience across oil (and all extracted minerals), seen in the West as potential steps to prepare geopolitically for conflicts

As can be seen by the map below, oil refiners are located much closer to the end-market demand region than the extraction location. Through the refining process crude is converted into different byproducts for use in a variety of other industries, which makes transportation more complex and expensive than during the crude stage. This underpins a key demand driver for crude shipping rates, as crude extracted in EMEA needs to be transported to North America, China, India, and Europe for refining, before being consumed.

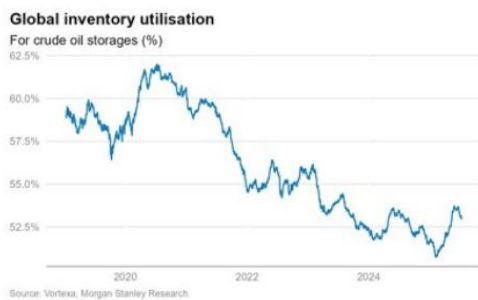


(3) Global inventories have significant room to grow

Despite relatively low oil prices over the past two years (excluding temporary spikes/shocks), inventories in key regions have now trended upwards (seen in the chart below). This was primarily due to a significantly tighter supply-demand situation than is currently in effect, as OPEC+ implemented voluntary production reductions of 2.2 million barrels per day starting in November 2023 (which were only unwound this year).

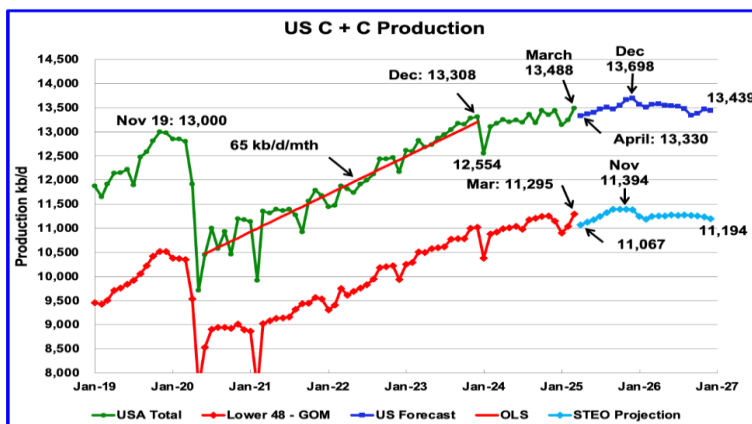
Low inventory balances in global oil storage deposits, combined with extraction increases by OPEC+ producers, and geopolitical/strategic motives to build oil resilience through strategic reserves, are key reasons we believe prices/demand for crude shipments will increase.

Exhibit 16: ... but there is plenty of room for inventories to build ...



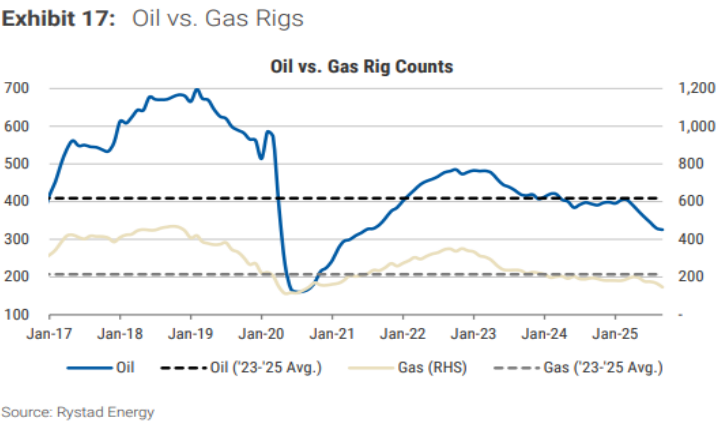
(4) US crude production growth has slowed, with rigs and total production flat/declining

The growth in US crude production has decreased each year since the recovering post-COVID, with limited to no growth forecast for the remainder of the year and into next year. This situation is summarized by the chart below, which shows strong US Crude and Condensate Production (aka US C+C Production) growth post-COVID recovery, with recent production having stalled and expected to remain so for the next 2-3 years. (As an aside, the red “OLS” line refers to the production from the Lower 48 States, which excludes production from Alaska and the Gulf of Mexico)



Commented [JA1]: Maybe briefly explain what the graph is showing on the top of it

Investment into exploration assets and expanding production has also been contracting over the past several years, given the restrictive environmental policies and negative sentiment surrounding Oil & Gas. This is evidenced by the contraction in oil rig count, with further significant decreases being recorded in 2025 YTD.



The situation this creates for the USA can be summarised as follows analysis, which highlights the oil importing demand situation. Given the consumption and onshore productive capacity, the USA net import requirement is equivalent to ~6.5mb/d of crude, before considering any increase to the strategic oil reserve. This import dependency is increasingly reliant on Middle East producers, both due to the gap’s size and geopolitical restrictions.

	M barrels/day
Consumption	20.0
Onshore production	13.4
Demand/Supply gap	-6.6

Translating this into the expected impact for the BWET ETF, Raymond James Research estimate that every 100,000 barrels per day of USA onshore production contraction adds ~2.5% of demand to VLCC shipment miles, given the distance between USA refining and storage assets and the Persian Gulf.

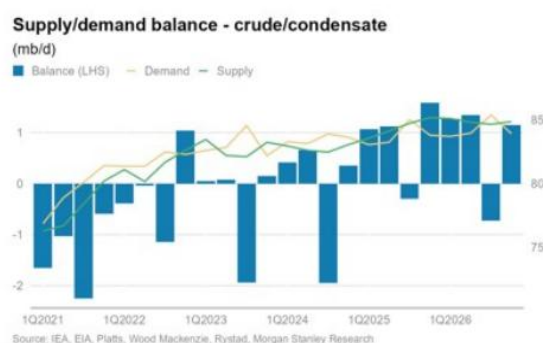
Investment Thesis Drivers

Based on these factual conditions, we believe the thesis is positioned to capitalize on the following trends we expect to play out over the coming months, as listed below.

(1) Oil price will remain low

We believe it is exceedingly likely that oil will remain within the US\$60-70/bbl range for the foreseeable future. The strategy of Middle East OPEC suppliers is to retain market share, supported by their favorable margin economics (given lower absolute production costs), with expectations that the oil market will remain oversupplied well into 2026. This 1.3-1.6mb/d global surplus will prevent any rapid price increase, and is supportive for VLCC and SUEZMAX shipments demand.

Exhibit 15: The oil market looks considerably oversupplied in coming quarters ...



This is not to say that oil prices won't fall further if inventories in 'demand centers' build rapidly over the next few months, however we believe this situation to be supportive for the thesis, by making the purchase (and storage) of crude more attractive for the key demand and storage players. Morgan Stanley estimate that the storage economic floor for oil to be approximately US\$60/bbl, and see the back end of Brent curve anchored at **\$65–70 for 3+ years**, which is highly attractive for building inventory.

(2) Global demand will be more resilient and grow more than expected

We believe demand for oil and oil products will be more resilient than the market is pricing in for several factors. Our perspective on each key oil demand and/or storage region is as follows:

- North America
 - The Trump administration has implemented the rollback and cancellation of multiple EV and renewable project incentives/subsidies. This includes the creation of incentives to on-shore production & manufacturing capabilities, which we believe will only gather pace over the coming months now that interest rates have begun falling.

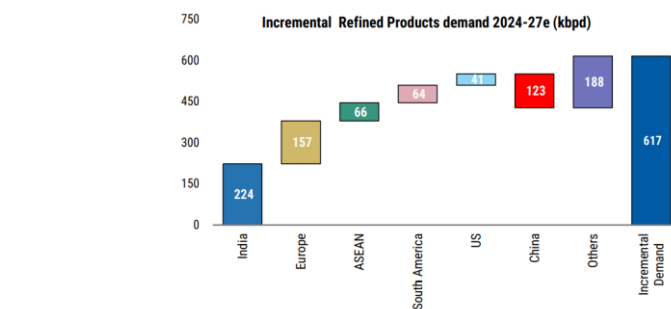
- “We’re seeing a 400,000 b/d positive revision to US oil demand forecasts through 2027 purely from policy changes.” (IHS Markit Research)
- “US gasoline demand is reaccelerating—we’re seeing 2.3% YoY growth versus expectations of –1%.” (Goldman Sachs Research)
- We believe these factors, leading into the seasonal peak period for oil demand and usage of northern hemisphere winter, will likely stimulate demand beyond what is currently priced in, with limited ability for ‘locally drilled’ crude to fill the void (especially given the marginal cost dynamics discussed above).
- Other regions
 - Non-OECD countries added 100 mb in five months (Jan–Jun 2025); China alone 48 mb (48% of total).
 - Oil-on-water inventory increased 106 mb in the same period; global floating storage at 74–97 mb, up 23–59% YoY.
 - Indian Petroleum Minister Hardeep Singh Puri: “Global south nations are rejecting Western energy transition timelines—**our oil demand will grow 7–9% annually through 2030.**”

The chart below summarizes the effect of these factors. The revisions discussed above should be incremental to the view summarized below. Furthermore, China’s downward incremental change below does not incorporate recent policy changes legislating the creation of a strategic oil reserve, which is estimated to total 685 million barrels (including the completion of a 20 million barrels facility in Zhoushan expected to be finished this or next year), which dwarfs the 123 thousand barrels per day contraction highlighted below.

Annual Global Fuel Demand Remains Steady

Global fuel demand remains resilient YTD

India, Europe, ASEAN and Americas are key drivers of incremental demand

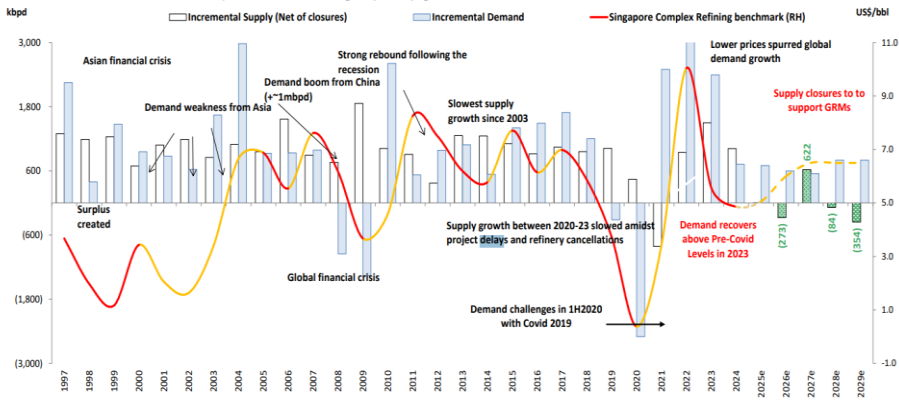


Source: EIA, P&G International, IE Singapore, PAI Genscape, FitchIHS, Morgan Stanley Research Estimates

The continued incremental demand for refining capacity is a further leading indicator of oil demand being more resilient than expected, as summarized by the chart below. Fuel demand continues to outpace the supply of new refining capacity and is expected to continue through 2029. Given the location of refining operations, this further supports the demand and price of crude shipments.

Golden Age of Refining: The 30-Year Refining Cycles In Perspective

Fuel demand continues to outpace new refining capacity growth



Source: Company data, BP, EIA, Morgan Stanley Research estimates

This supply constraint in the refining market won’t persist forever, with several major facilities due to be completed over the coming years. As the tables below indicates, this refining market tightness has in part been caused by several delays to sites expected to be opened or expanded in 2024-25. Once these projects are finished, they will increase the daily production capacity of global refineries by 0.5m barrels per day (bpd).

The insight this refinery investment schedule offers is that providers of refined oil products expect there to be significant growth in demand for oil products, otherwise these projects would be cancelled indefinitely.

Refining Capacity Starts Have Seen Significant Delays

New refinery starts in 2025, 2026 and 2027 continue to face delays.

A 0.5mbpd of net new capacity adds annually until 2028

Region	Location	Owner / Operator	Capacity	Remarks
2024-25: New facilities			1,381	
Nigeria	Lagos	Dangote Oil Refining Company	650	Commenced operations in 3Q24
China	Shandong	Shandong Yulong Petrochemical	400	Phase 1 started
India	Barmer	Hindustan Petroleum	181	Delayed to End-2025
Azerbaijan	Baku	Heydar Aliyev Refinery	150	Limited Updates
2024-25: Expansion projects			639	
India	Paripat	Indian Oil Corp.	200	Expected in 1H26
Bahrain	Sitra Expansion	Bahrain Petroleum Co.	133	Moved to 2025 end
Indonesia	Balikpapan	Pertamina	300	Delayed to 2026
India	Koyali	Indian Oil Corp.	85	Expected in 1H26
India	Barani	Indian Oil Corp.	60	Delayed to 2026 end
Russia	Alipky	Fortinvest	60	Limited Updates

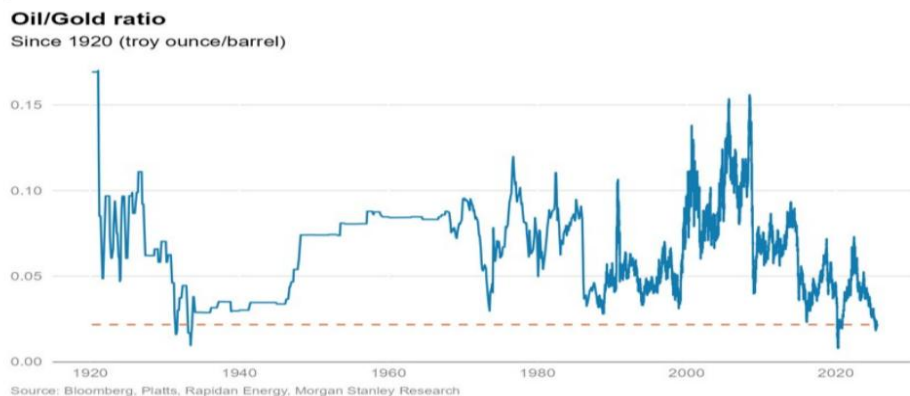
Source: SP Global Platts, Morgan Stanley Research

Region	Location	Owner / Operator	Capacity	Remarks
2025 - New facilities			601	
Angola	Cabinda	Sonangol	60	
Congo	Pointe Noire	Congolaise De Raffinage	50	Expected to come online in 3Q25
India	Barmer	Hindustan Petroleum	181	Expected to come online in Jan 25
China	Shandong	Shandong Yulong Petrochemical	200	
Angola	Cabinda	Sonangol	60	Phase 1 (50%) in 2025, Phase 2 2025-26
Congo	Pointe Noire	Congolaise De Raffinage	50	Delayed to 2025 end
2025 - Expansion projects			1,195	
Brazil	Pernambuco	Petrobras	15	Commenced March 2025
India	Nunalligarh	Oil India	120	Moved to Dec-26 Ramp up; Work completion in end 2025
Thailand	Sriracha	Thai Oil	100	3Q28 completion; Delayed to 2029 ramp up; EPC Contractor Changed
Iraq	Karbala	Iraq National Oil Co	70	Paused
Iraq	Al-Siniyah Refinery	Northern Refining Company (NRC)	20	
Iraq	Basrah	Iraq National Oil Co	70	Delayed to 2026; Work completion in 2025
Iraq	Salah al-Din Refinery	Iraqi Ministry of Oil	70	End 2025
United Arab Emirates	Fujairah	Ecomar	40	
China	Fujairah	CNOOC	160	
China	Yulong	Ecomar	430	Started ramp Up
Indonesia	Balikpapan	Pertamina	100	End 2025

(3) Oil as a new global reserve currency

Gold, the traditional reserve currency and store of value, is trading at all-time highs. This coincides with the Oil-to-Gold price ratio reaching its lowest point since before WW2, which we believed has prompted country, especially China, to begin purchasing oil.

Exhibit 19: Outside a few weeks during Covid, the price of oil expressed in ounces of gold is close to its lowest level since 1933



While the significance of this concept may appear far-fetched, China's imports in H1 2025 have significantly outstripped their requirements for internal use/production. A total 200 million bbl of strategic petroleum reserve capacity is likely to come on line in 2026, while traders cited unconfirmed reports of much higher capacities. Beijing's decision to launch, and apparently to finance, new reserves sites speaks to China's growing obsession with energy security at a time of growing geopolitical tensions.

We consider this drastic increase of strategic reserve capacity in China a continued increase in VLCC and SUEZMAX shipments from MENA to China over 2H and into next year, with a similar prediction for India as their economy and demand for refined oil products continues to grow.

While this concept may be difficult to consider realistic, quotes from several market commentators evidence the likelihood that this situation won't only persist, but will increase over the coming years, and be amplified if oil prices remain within the US\$60-70/bbl range:

- "We're witnessing Bretton Woods III, [as] commodities become monetary instruments. Central banks will hold 5–10% of reserves in physical commodities by 2030, implying \$2 trillion in reallocation." (Credit Suisse UBS Research)
- "The 2020s will be remembered as the decade when oil stopped being just a commodity and became critical infrastructure for monetary sovereignty." (Standard Chartered Research)
- Saudi Aramco CEO Amin Nasser: "We're seeing unprecedented interest from sovereign wealth funds in physical oil storage agreements – not futures, but actual crude in tanks."

Translating these statements into a rough demand equation, at \$65/barrel a 5% commodity allocation by global central banks equals 9.2 billion barrels of demand, (or roughly 2.5 mb/d absorption for 10 years).

(4) Geopolitical Sanctions

The current economic sanctions on Russia and Iran, and by default their oil exports, benefits the OPEC+ producers in many ways, and none more so than those in MENA. By effectively removing crude oil from these countries from the supply pool for most countries, VLCC and SUEZMAX vessels become the default method for transporting oil from where it is drilled to where it is needed for refining. The classic example here is in Europe, where the war in Ukraine has rendered many oil pipelines in the region inoperable, resulting in demand for VLCC shipments and appreciation for shipping rates/future contracts.

These ongoing sanctions also continue to restrict and tighten the number of 'dark fleet' vessels that transport oil from Russia and Iran to China and India. As of 17-Sep-25 Morgan Stanley state that "more dark fleet is being sanctioned" and "USA is increasing secondary sanctions on Russian oil, such as 25% additional tariff on India for purchases of Russian oil". Furthermore, on average dark fleet ships are ~20+ years old, and constantly falling out of commission. The continued restriction of these black-market transport options similarly benefits the legitimate VLCC market.

Finally, we believe these conditions will continue for the foreseeable future, with commentary from US Government representatives indicating that pressure will continue and not cease until there is a result in Ukraine ("We are in a race now between how long can the Ukrainian military hold up versus how long can the Russian economy hold up," Bessent said.).

(5) Oil Production Constraints in non-MENA Countries

We believe that it is unlikely that investment in new production assets in North America will come online during our thesis window. This has been stifled by USA and Canadian government stances to new oil leases and grants in recent years, which is now reversing but will take time to change course:

- Oil-directed rig count down 60 units (~12%) since March 2025, with the Permian losing ~2 rigs per week, Eagle Ford down one every two weeks, and Bakken losing one every five.
- US crude exports down 6.6% YoY to 23.5 million barrels, suggesting tightening domestic supply.

Morgan Stanley Research is forecasting a 150 kb/d decline for US onshore oil supply by end-2026, however several oil industry CEOs warn this could be understated:

- Pioneer CEO Scott Sheffield: "At current rig counts and \$60 oil, US production could fall 500 kb/d by mid-2026."
- Diamondback's CFO: "We're completing DUCs rather than drilling new ones, as new rigs are unsustainable until Q1 2026."

(6) Vessel Dynamics

The supply of new VLCC and SUEZMAX vessels into the global pool remains slow, with the fleet market fundamentally tight:

- Global tanker fleet: 705.4 million deadweight tonnage (DWT), and growing just 1-2% annually (per the table below).
- There is no meaningful orderbook expansion possible until 2027 given shipyard constraints and the lead time required for new vessels.

Exhibit 12:

Supply forecasts: VLCC

VLCC	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E
<i>In msn dwt</i>										
Fleet BOP	214	225	228	247	256	262	274	280	279	281
Scheduled delivery	16.2	17.0	20.2	11.3	10.8	13.3	7.3	0.9	2.1	9.3
Order as % of BOP Fleet	8%	8%	9%	5%	4%	5%	3%	0%	1%	3%
Delivery Rate*	94%	71%	104%	100%	100%	96%	92%	33%	100%	100%
Delayed	1.0	4.9	(1)	0	(0)	0.6	0.6	0.6	-	-
Actual Delivery	15.2	12.1	21.1	11.3	10.8	12.7	6.7	0.3	2.1	9.3
Demolition*	(3.9)	(9.2)	(1.1)	(0.6)	(4.8)	(1.2)	-	(0.9)	(0.6)	(0.6)
Other less	(0.3)	(0.6)	(0.3)	(1.6)	(0.9)	0.5	(0.6)	0.3	-	-
Fleet EOP	225	228	247	256	262	274	280	279	281	290
Fleet Growth EoP	5.2%	1.0%	8.6%	3.7%	2.0%	4.6%	2.2%	-0.1%	0.5%	3.1%
Fleet Effective	220	227	238	252	259	268	277	280	280	285
Fleet Growth Effective	6.1%	3.0%	4.8%	6.1%	2.8%	3.3%	3.4%	1.0%	0.2%	1.8%
World seaborne crude oil trade (billion tonne-miles)	10,409	10,716	10,496	9,774	9,356	9,967	10,510	10,723	10,835	10,858
YoY %	6.7%	2.9%	-2.1%	-6.9%	-4.3%	6.5%	5.5%	2.0%	1.0%	0.2%

Source: Clarkson, Morgan Stanley Research (E) estimates. Note: No consideration of potential inactive fleet.

There is a structural shortage of mega vessels, resulting from years of consistently low crude freight prices rates causing under-investment in VLCC and SUEZMAX vessels. While rates have improved this year, the lead-time on new vessel construction is 2-3 years (from signing to delivery). With an investment horizon of ~6 months, we believe it is significantly unlikely that crude shipping vessels will increase materially within this period.

‘Additional Upside Scenarios’

We believe beyond these primary drivers, several other factors may prove supportive to the thesis, however, are not prerequisites for the investment. These include:

- Further geopolitical shocks/wars are upside risk for shipping rates – geopolitical risks increase risk premium on shipping rates (especially immediately in the very short term, creates price gap upwards)
 - Incidents create outsized effects—when the Ever Given blocked Suez, VLCC rates spiked 40% in 48 hours.
- Harsher/longer winter than expected will amplify the demand creation effects beyond those discussed above
- Decreasing interest rates reduce the storage/carry costs for oil, potentially increasing demand for oil for storage and therefore VLCC rates
- Increased frequency of natural disasters and adverse weather events globally are also correlated with spikes in VLCC shipping rates, as longer voyage periods cause port arrival delays which tighten the supply side of the equation
- Floating storage situations like were seen during COVID are further upside situations which are correlated with increases to VLCC/SUEZMAX contract prices, as tankers being used for this purpose similarly cause supply-side tightening (as above)

Risks & Mitigants

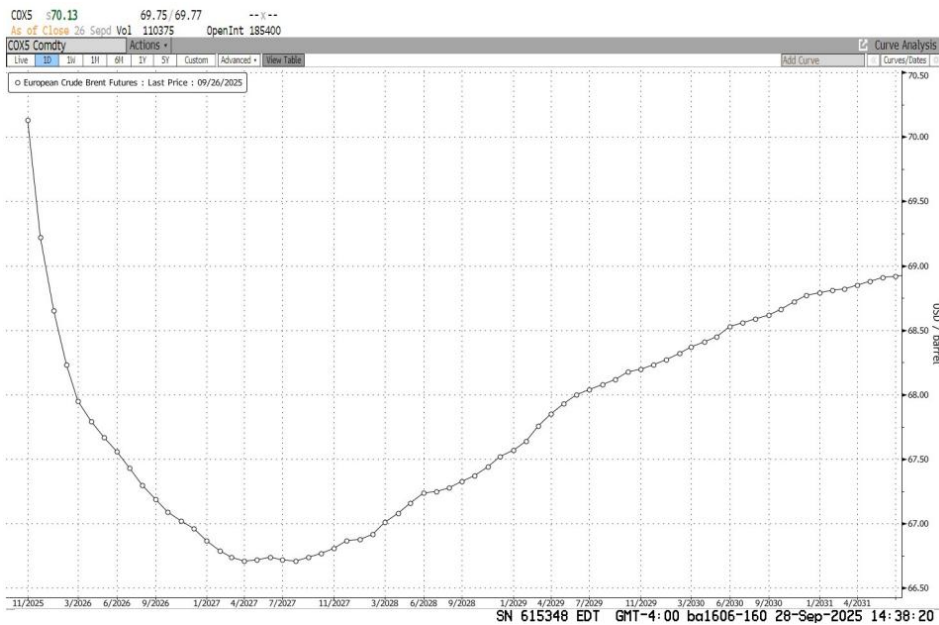
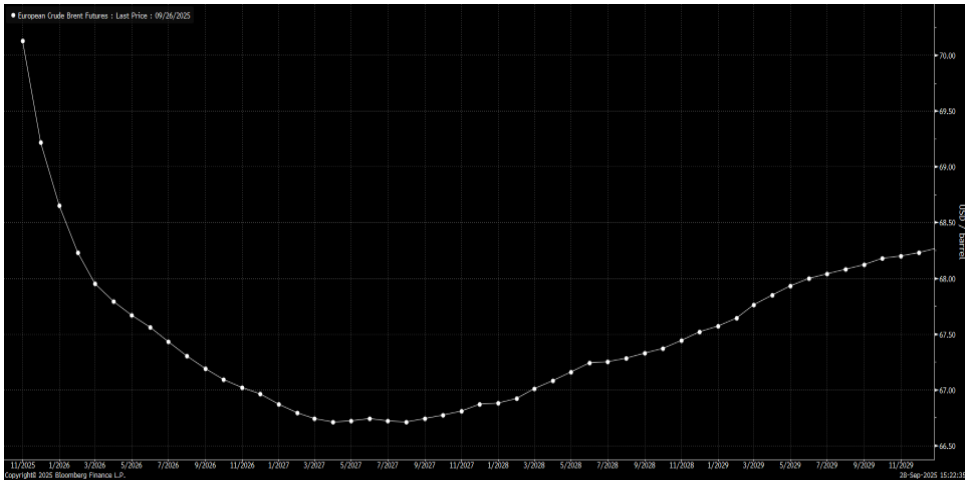
Risks	Mitigants
What if the US falls into a recession in 2H 2025?	• Situation is unlikely, with interest rates predicted to fall and growth metrics holding up well - Real GDP is +3.8% annually for Apr-Jun '25 (3rd estimate of the U.S. BEA) vs -0.6% in Q1 • Natural offset within VLCC contract prices (and therefore BWET), in that shipments to China and India are also covered in these contracts/ the ETF • Significantly unlikely that demand from either of these countries would decrease in 2H, which provides protection to VLCC rates should US demand contract significantly through a recession
If US production collapses, won't recession destroy demand?	• Occidental CEO Vicki Hollub: "Production responds to price with 6–9 month lags. By the time supply drops, demand has already adjusted to policy stimulus." • Morgan Stanley Research base case: 1.1% GDP growth but 2.3% oil demand growth, driven by fiscal stimulus and composition effects.
Can't shale restart quickly if prices rise?	• Halliburton's Jeff Miller: "We've cannibalized 40% of our fracking fleet. Lead time for new equipment is 18 months. Skilled labor down 15% since 2022" (Dallas Fed Energy Survey).
Won't OPEC+ reverse course if prices fall too far?	• J.P. Research: "Saudi Arabian producers watched US shale steal 5 mb/d over the last decade—they won't make that mistake again." • We see it as exceedingly unlikely that OPEC+ countries will collapse the oil prices through increased supply, however have series motives to maintain prices below that which it becomes economically lucrative for USA-based producers to invest in new assets (or restart foreclosed wells) • Similarly, even if OPEC+ producers cut production slightly, we have seen prices held around \$60-70 range for an extended period at this point, through which time market participants have shown willingness to purchase and ship oil, which we believe will continue
Expense ratio of the ETF at 3.5% is expensive	• While the ETF is extremely expensive relative to other ETF's we don't believe this comparison is relevant or fair • The ETF sponsor in this case is maintaining the weighted average future contract duration of 60-90 days through the rolling over of 1 to 6 months futures contracts, while maintaining margin with brokers and being registered to be able to contract in the futures market, which are expensive activities to manage • Furthermore, given the relatively material upside potential of 35%+ on the trade, we don't believe the expense ratio is significant within this context
What if global oil and/or oil products demand decreases earlier than expected? Or collapses in the short term for some reason?	• While a complete collapse in demand for oil products would be a significant change, we believe the trade is better positioned to weather these conditions • The build-up of strategic reserves by China and the USA isn't correlated with market sentiment or end-market demand, which are key drivers for increased VLCC and SUEZMAX shipments over the coming months. These inventory levels are near historic lows, and given the heightened geopolitical and supply chain uncertainty, we believe are poised to continue regardless of oil product demand, which results in continued competition for these vessels, thus increasing their futures contract price

	Furthermore, while the USA and China are the dominant regions today, in recent years demand from India and broader Asia has become significant and material, which we believe will continue for the foreseeable future. These regions also don't have the benefit of developed electric grid infrastructure that is required for oil product substitutes to be effective, further supporting oil demand being resilient
How will the oil forward curve shifting from backwardation (current) to contango effect the trade idea?	- The current dynamics presented are occurring against a backwardation forward oil curve, which intuitively would be counter to storage economics and/or the growth in oil for storage we have seen (from central banks/sovereigns for geopolitical and/or reserve currency reasons). In other words, we believe these oil storage buyers are agnostic to the forward curve direction, and are purchasing for other reasons - Should the market flip into contango, we believe this is further support for thesis, by making storage economics more attractive, given that futures prices would be greater than spot, making purchasing in spot and selling forward a profitable strategy - Morgan Stanley Research: "If the long-end holds in the high-\$60s and spot falls below \$60, storage economics would likely become attractive at current interest rates. At that point, we suspect that prices will start to be supported by 'contango capture' demand." - We also believe that the current backwardation curve (seen below) is further evidence that the thesis and strategy are not yet priced in
Won't the oil as reserve currency / sovereign demand argument increase oil prices and reduce the appetite for crude tankers? And therefore shipment futures contract price growth?	- While we believe this risk is possible, we believe central banks purchasing oil in a reserve currency context are rational, and will only do so while oil prices, and the price relative to gold, make it attractive to do so - There is a natural hedge for this risk build into the VLCC/SUEZMAX contracts however, as such central bank purchases/shipments may require storage in tankers for extended periods, which restricts vessel supply and increases freight rates - So long as the demand for VLCC and SUEZMAX vessels continues to outpace the availability of these vessels, the BWET ETF remains an effective strategy
Have we missed the boat, with the shipment rates rallying already?	<i>VLCC Middle East-Asia rates are up 84% month-over-month and 40% quarter-over-quarter (unprecedented for August).</i> - We believe there remains substantial room for the trade to run for the following reasons: - The tanker market is recovering from a long period of subdued rates, as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy - A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, with many factors providing surprise shocks to the upside versus the downside - Furthermore against this backdrop, the BWET ETF is only up 13.5% over the past 30 days, signifying that we believe there is material upside left in the recent VLCC price action alone, given the ETF composition.

Commented [JA2]: Kind of a stretch

- We believe this effect will occur even before accounting for factors presented above, which will cause freight rates to persistently tick upwards over the coming months, and cause the BWET ETF to approach it's all-time high of \$21.15 over the coming months

Oil Futures – Forward Curve (BBG)



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Trade Execution

- From the current BWET price of ~~~\$14.87~~ (as at 29-Sep-25), we believe the price appreciation possible over the next 3-6 months may approach the near-term high of (\$21.15)
- However, we believe in implementing a prudent profit taking strategy and reducing risk by 30% as prices go beyond \$18, in order to protect the capital base
- We believe that 70% of the risk should be maintained in the trade till early 2026 or \$21 whichever is earlier
- While we believe these factors make this situation highly attractive, we believe it is possible to set a relatively tight stop-loss at down 10% (\$13.50 hard limit)
- To ensure the thesis presented is developing as we expect, we also recommend proactively tracking quantitative leading indicators such as SPR filling rates and Refinery utilization rates, as these indicators may change ahead of the VLCC future rates and therefore the BWET index

Commented [JA3]: Price update

BWET ETF – Price Chart (L2Y – BBG)



Conclusion

We believe this trade wins for several reasons, as oil tankers are a critical piece of the global infrastructure that are structurally benefit from the following conditions:

1. **Energy Security over Energy Transition:** Countries are prioritizing supply chain resilience and preparations against further geopolitical shocks (war, COVID, etc) through strategic oil reserves over green/sustainability ambitions. In a world pivoting from energy transition to energy security, the ships carrying that security become indispensable assets.
2. **Monetary Regime Change:** Oil and other commodities are joining gold as a non-dollar reserve asset held by central banks and sovereigns.
3. **Regional Oil Demand/Supply Imbalance:** Refined oil products remain indispensable in consumer and industrial markets globally, with no ability for this to be substituted in the medium term (despite good natured intentions and sentiment to the contrary), and similarly no change to move oil deposits or shift the cost curve of producing regions elsewhere.
4. **US Energy Priorities:** US production declines have forced long-haul imports from the Middle East to fill the void created.
5. **Geopolitical and/or other Tail Risks:** The trade strategy reflects a unique way to be long volatility and tail-risk global events, which also has strong underlying fundamentals – this is not a direct bet on further geopolitical shocks or turmoil, however will benefit materially in this situation (without costing a significant ‘insurance’ or risk premium to implement).

We believe this trade provides the opportunity for institutional capital to profit from the second-order effects of first-order policy changes, and creates an asymmetric risk/reward payoff structure with multiple routes to superior return outcomes should further macroeconomic shocks be felt.

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